

STOCK MARKET BASICS RESEARCH REPORT

Submitted By

Name: Dhejesh G

College Details

College Name: Dhirajlal Gandhi College of Technology

Department: B.E Computer Science & Engineering

Year: II Year

Internship Details

Internship Title: Stock Market Internship

Organization: CodeAlpha

Submission Details

Date: 13 June 2026

Introduction

The stock market is one of the most important components of a country's financial system. It provides companies with a platform to raise capital and offers investors an opportunity to participate in the growth of businesses. In India, millions of investors actively trade and invest in stocks through stock exchanges such as the National Stock Exchange (NSE) and the Bombay Stock Exchange (BSE). The stock market plays a crucial role in economic development by facilitating investment, capital formation, and wealth creation.

This report explains the concept of the stock market, differentiates between the primary and secondary markets, and discusses the role of the Securities and Exchange Board of India (SEBI) in regulating the Indian securities market.

What is the Stock Market?

A stock market is a marketplace where shares of publicly listed companies are bought and sold. When investors purchase shares of a company, they become partial owners of that company. The value of these shares fluctuates based on factors such as company performance, market conditions, economic indicators, and investor sentiment.

The stock market serves two primary functions:

1. Capital Raising for Companies.
2. Investment Opportunities for Individuals.

The stock market consists of various participants, including investors, traders, brokers, stock exchanges, regulators, and listed companies. Modern stock markets operate electronically, allowing investors to trade shares through online trading platforms.

Importance of the Stock Market

- Facilitates economic growth.
- Encourages savings and investments.
- Provides liquidity to investors.
- Helps companies expand their operations.
- Creates employment opportunities.
- Enables wealth creation over the long term.

Primary Market vs Secondary Market

The stock market is broadly divided into two segments: the Primary Market and the Secondary Market.

Primary Market

The primary market is where securities are issued for the first time. Companies raise capital directly from investors by issuing shares through an Initial Public Offering (IPO), Follow-on Public Offering (FPO), or rights issue.

Features of the Primary Market

- Securities are sold directly by the company.
- Investors purchase newly issued shares.
- Funds raised go directly to the issuing company.
- Helps companies finance expansion and business operations.

Secondary Market

The secondary market is where existing shares are bought and sold among investors after they have been listed on a stock exchange.

Features of the Secondary Market

- Trading occurs between investors.
- The company does not receive money from these transactions.
- Provides liquidity to investors.

Difference Between Primary and Secondary Market

Feature	Primary Market	Secondary Market
Purpose	Issue of new securities	Trading of existing securities
Participants	Company and investors	Investors and traders
Fund Recipient	Company receives funds	Seller receives funds
Pricing	Fixed by issuer	Determined by market forces
Example	IPO	NSE/BSE Trading

Both markets are essential for the smooth functioning of the financial system. The primary market helps businesses raise funds, while the secondary market ensures liquidity and efficient price discovery.

Role of SEBI in India

The Securities and Exchange Board of India (SEBI) is the regulatory authority responsible for overseeing and regulating the securities market in India. SEBI was established in 1988 and was given statutory powers through the SEBI Act, 1992.

Major Functions of SEBI

1. Protection of Investors

SEBI ensures that investors are protected from fraudulent activities and unfair trade practices.

2. Regulation of Stock Exchanges

SEBI supervises stock exchanges such as NSE and BSE to ensure smooth and transparent operations.

3. Regulation of Market Intermediaries

SEBI regulates brokers, merchant bankers, mutual funds, portfolio managers, and other market participants.

4. Prevention of Insider Trading

SEBI monitors and prevents insider trading and market manipulation.

5. Promotion of Market Development

SEBI introduces reforms and technological advancements to improve market efficiency and accessibility.

6. Monitoring Corporate Governance

SEBI ensures listed companies follow disclosure requirements and maintain transparency in financial reporting.

Achievements of SEBI

- Introduction of electronic trading systems.
- Implementation of investor protection measures.
- Faster settlement processes.
- Enhanced transparency in IPOs.

- Strengthening corporate governance standards.

Conclusion

The stock market is a vital institution that supports economic growth by connecting investors and businesses. It enables companies to raise capital and provides individuals with opportunities to build wealth. The stock market operates through the primary and secondary markets, each serving distinct but complementary functions. In India, SEBI plays a critical role in maintaining market integrity, protecting investors, and ensuring the smooth functioning of financial markets. A clear understanding of stock market fundamentals is essential for anyone interested in investing and participating in the country's economic development.

References

1. SEBI (Securities and Exchange Board of India)
2. National Stock Exchange (NSE)
3. Bombay Stock Exchange (BSE)
4. Financial Markets and Institutions – Textbook
5. Investor Education Resources